

tune of ₹4,000 crore in two phases by divesting 10.53 per cent stake in Tata Power Renewables as part of the company's renewables push. "The investment would translate into a base equity valuation of ₹34,000 crore and an enterprise value of nearly ₹50,000 crore for a platform that will house all the RE businesses of Tata Power and will meet the equity capex requirement for the firm for [the] next three-four-year period," says Anuj Upadhyay, Institutional Research Analyst at HDFC Securities.

The increased green energy adoption in the country has positively impacted Tata Power's growth and, in turn, its earnings. The company has leveraged its first-mover advantage to capture significant market share across various business verticals like solar EPC, solar pumps, solar rooftop installations and electric vehicle (EV) charging, says Upadhyay.

"We are on a journey where we see a humongous opportunity, especially in areas of renewable business. Whatever we are doing here in India is just the tip of the iceberg," declares Sinha.

BUT THIS EXPANSION has also thrown up unique challenges. One is the delay in execution of solar EPC contracts due to a steep rise in module prices, which went up by up to 60 per cent to over ₹25 per watt. This also dented margins across its solar EPC division during Q4FY22 and Q1FY23. However, the margins were restored during Q2FY23, implying that the aggressive tenders have been executed and all newly bid or upcoming tenders include the high module prices.

Tata Power's Mundra Ultra Mega Power Plant (MUMPP), being run by Coastal Gujarat Power

Ltd (CGPL) SPV (special purpose vehicle) in Kutch district, reported a loss of ₹484 crore due to lower Plant Load Factor (PLF) of 25 per cent and rise in fuel under-recoveries to ₹1 per unit from ₹0.16 per unit in Q3FY22. The company management has said that it is in advanced discussions with Gujarat and other states for supplementary power purchase agreements (PPAs) for fuel cost pass-through. This would reduce fuel under-recoveries and lower losses at Mundra.

From May this year, CGPL has been booking sales under Section 11 of the Electricity Act. This notification, which has been extended up to December 31, provides for full compensation of the cost of power generation by the buyer along with a certain profit to be determined by the regulatory body Central Electricity Regulatory Commission (CERC). The Ministry of Power has given an interim tariff based on which CGPL has been billing the buyers. "For capacity charges, CERC's recent favourable order helped recognise ₹460 crore additional revenue during Q2FY23—₹150 crore pertaining to Q1FY23. We believe, once CERC approves the tariff, ₹400-500 crore under-recovery of variable charges may be reversed in the coming quarters, resulting in further increase in profits," says ICICI Securities in its review of Tata Power's second quarter results.

"While the company seems to be taking the right steps in terms of diversifying its revenue model, it is the balance sheet that is still not out of risk. If you were to look at reported debt to Ebitda, it's currently 3.5 times," says Harshavardhan Dole, Energy Analyst at IIFL Securities. As Dole explains, typically, such high debt to Ebitda is vulnerable to cyclicalities of businesses such as coal and solar EPC, where even the slightest compression may

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PRAVEER SINHA
CEO & MD, TATA POWER



"There are only a handful of companies in India that can make a significant dent on consumer behaviour. Tata Power is one of them"

HARSHAVARDHAN DOLE
ENERGY ANALYST, IIFL SECURITIES